



Banking Regulation Act, 1949

The **Banking Regulation Act, 1949** is a law in India that regulates all banking companies in India.^[1] Passed as the Banking Companies Act 1949, it came into force on 16 March 1949 and changed to Banking Regulation Act 1949 from 1 March 1966. It is applicable in Jammu and Kashmir from 1956. Initially, the law was applicable only to banking companies. But, in 1965 it was amended to make it applicable to cooperative banks and to introduce other changes.^[2] In 2020 it was amended to bring the cooperative banks under the supervision of the Reserve Bank of India (RBI).^[3]

Overview

The Act provides a framework for the regulation of commercial banking in India. It supplements the Companies Act, 1956.^[4] Primary Agricultural Credit Society and cooperative land mortgage banks are excluded from the Act.^[2]

The Act gives the RBI the power to license banks, have regulation over shareholding and voting rights of shareholders; supervise the appointment of the boards and management; regulate the operations of banks; lay down instructions for audits; control moratorium, mergers and liquidation; issue directives in the interests of public good and on banking policy, and impose penalties.^[2]

In 1965, the Act was amended to include cooperative banks under its purview by adding the Section 56. Cooperative banks, which operate only in one state, are formed and run by the state government. But, RBI controls the licensing and regulates the business operations.^[2] The Banking Act was a supplement to the previous acts related to banking.

Amendments

In 2020, Finance Minister Nirmala Sitaraman introduced a bill to amend the Act. The bill sought to bring all cooperative banks under the Reserve Bank of India. It brought 1,482 urban and 58 multi-state cooperative banks under the supervision of the RBI. nstruct or merge banks without moratoriums. The bill

The Banking regulation Act, 1949



सत्यमेव जयते

Parliament of India

Long title

An Act to consolidate and amend the law relating to banking

Citation Act No. 10 of 1949 (https://www.indiacode.nic.in/bitstream/123456789/1885/1/A1949_10.pdf)

Territorial extent Whole of India

Enacted by Parliament of India

Enacted 10 March 1949

Amended by

Banking Regulation (Amendment) Bill, 2020

Status: In force

was passed by the parliament.^[3]

See also



Banks portal



Money portal

- Banking in India
- Public Debt Act, 1944
- Reserve Bank of India Act, 1934

References

1. Dr. Ashok Sharma. *Auditing* (<https://books.google.com/books?id=AzDGYFY7RgC&pg=PA214>). FK Publications. p. 214. ISBN 978-81-87139-74-4. Retrieved 11 January 2015.
2. Bimal N. Patel (2008). *India and International Law: Introduction* (<https://books.google.com/books?id=V7PI25CBkXYC&pg=PA218>). Martinus Nijhoff Publishers. pp. 218–219. ISBN 978-90-04-16152-8.
3. Ray, Anulekha (17 September 2020). "Banking Regulation Amendment Bill passed. What it means for banks, customers" (<https://www.livemint.com/industry/banking/banking-regulation-amendment-bill-2020-passed-what-it-means-for-banks-customers-11600337144895.html>). *Mint*.
4. "The Companies Act 1956 Indian Bare Acts - India Bare Act" (<https://web.archive.org/web/20160625110523/http://www.helplinelaw.com/docs/the-companies-act-1956>). *www.helplinelaw.com*. Archived from the original (<http://www.helplinelaw.com/docs/the-companies-act-1956>) on 25 June 2016.

Retrieved from "https://en.wikipedia.org/w/index.php?title=Banking_Regulation_Act,_1949&oldid=1291776131"